

The Board of Directors of Diamond Trust Bank Kenya Limited is pleased to announce the audited Group and Bank results for the year ended 31st December 2018

| STATEMENT OF FINANCIAL POSITION                                 | GROUP           |                 | BANK            |                 |
|-----------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                 | Dec. 2018       | Dec. 2017       | Dec. 2018       | Dec. 2017       |
|                                                                 | Shs 000 Audited | Shs 000 Audited | Shs 000 Audited | Shs 000 Audited |
| ASSETS                                                          |                 |                 |                 |                 |
| Cash (both local and foreign)                                   | 7,928,396       | 7,632,063       | 5,192,180       | 4,888,042       |
| Balances due from Central Banks                                 | 29,788,551      | 17,376,788      | 22,171,419      | 10,162,149      |
| Kenya Government and other securities held for dealing purposes | -               | -               | -               | -               |
| Investment Securities:                                          |                 |                 |                 |                 |
| (a) Held to Maturity:                                           |                 |                 |                 |                 |
| a. Kenya Government securities                                  | 85,806,712      | 84,895,740      | 85,806,712      | 84,895,740      |
| b. Other securities                                             | 29,220,826      | 27,642,068      | -               | -               |
| (b) At Fair Value:                                              |                 |                 |                 |                 |
| a. Kenya Government securities                                  | 505,173         | 15,474          | 505,173         | 15,474          |
| b. Other securities                                             | 1,797,617       | 1,797,617       | 1,797,617       | 1,797,617       |
| Deposits and balances due from local banking institutions       | 65,258          | 34,925          | 65,258          | 34,925          |
| Deposits and balances due from banking institutions abroad      | 14,097,184      | 12,481,446      | 2,620,450       | 2,875,544       |
| Income tax recoverable                                          | 1,470,570       | 829,434         | 922,872         | 652,699         |
| Loans and advances to customers (net)                           | 193,074,357     | 196,048,155     | 146,781,681     | 148,515,793     |
| Balances due from group companies                               | -               | -               | -               | -               |
| Investments in associate                                        | 63,933          | 35,462          | 1               | 1               |
| Investment in subsidiary companies                              | -               | -               | 5,752,701       | 5,600,405       |
| Investments in joint ventures                                   | -               | -               | -               | -               |
| Investment properties                                           | -               | -               | -               | -               |
| Property and equipment                                          | 6,410,674       | 6,716,249       | 4,759,643       | 5,020,237       |
| Prepaid lease rentals                                           | -               | -               | -               | -               |
| Intangible assets                                               | 1,230,071       | 1,327,057       | 982,437         | 1,072,640       |
| Goodwill                                                        | 173,372         | 173,372         | -               | -               |
| Deferred tax asset                                              | 3,379,287       | 3,745,935       | 2,372,988       | 2,893,916       |
| Retirement benefit asset                                        | -               | -               | -               | -               |
| Other assets                                                    | 2,707,333       | 2,551,615       | 1,784,571       | 1,656,356       |
| Total Assets                                                    | 377,719,314     | 363,303,400     | 281,515,703     | 270,081,538     |
| LIABILITIES                                                     |                 |                 |                 |                 |
| Balances due to Central Bank of Kenya                           | -               | -               | -               | -               |
| Customer deposits                                               | 282,860,003     | 266,246,854     | 206,059,510     | 190,468,570     |
| Deposits and balances due to local banking institutions         | 10,675,300      | 11,792,569      | 10,675,300      | 11,792,569      |
| Deposits and balances due to banking institutions abroad        | 6,467,907       | 8,711,424       | 4,049,030       | 6,993,117       |
| Other money market deposits                                     | -               | -               | -               | -               |
| Borrowed funds                                                  | 14,693,994      | 17,174,934      | 10,441,306      | 13,562,268      |
| Balances due to group companies                                 | -               | -               | -               | -               |
| Tax payable                                                     | -               | -               | -               | -               |
| Dividends payable                                               | -               | -               | -               | -               |
| Deferred income tax liability                                   | -               | -               | -               | -               |
| Retirement benefit liability                                    | -               | -               | -               | -               |
| Other liabilities                                               | 4,082,861       | 5,757,864       | 2,577,719       | 4,261,042       |
| Total Liabilities                                               | 318,780,065     | 309,683,645     | 233,802,865     | 227,077,566     |
| SHAREHOLDERS' EQUITY                                            |                 |                 |                 |                 |
| Paid up capital                                                 | 1,118,409       | 1,118,409       | 1,118,409       | 1,118,409       |
| Share premium                                                   | 9,006,569       | 9,006,569       | 9,006,569       | 9,006,569       |
| Revaluation and other reserve                                   | (156,295)       | 226,088         | 1,328,408       | 1,357,296       |
| Retained earnings                                               | 42,070,633      | 35,934,013      | 35,532,486      | 30,794,732      |
| Statutory loan loss reserve                                     | 890,768         | 1,357,750       | -               | -               |
| Proposed dividends                                              | 726,966         | 726,966         | 726,966         | 726,966         |
| Capital grants                                                  | -               | -               | -               | -               |
| Total Shareholders' Equity                                      | 53,657,050      | 48,369,795      | 47,712,838      | 43,003,972      |
| Non controlling interests                                       | 5,282,199       | 5,249,960       | -               | -               |
| Total Equity                                                    | 58,939,249      | 53,619,755      | 47,712,838      | 43,003,972      |
| Total Liabilities and Shareholders' Equity                      | 377,719,314     | 363,303,400     | 281,515,703     | 270,081,538     |

| OTHER DISCLOSURES                                      |            |            |             |             |
|--------------------------------------------------------|------------|------------|-------------|-------------|
|                                                        |            |            |             |             |
|                                                        |            |            |             |             |
| (1) NON -PERFORMING LOANS AND ADVANCES                 |            |            |             |             |
| (a) Gross non-performing loans and advances            | 13,610,880 | 14,833,944 | 11,035,904  | 11,901,308  |
| (b) Interest in suspense                               | 1,465,556  | 1,783,544  | 1,325,259   | 1,303,560   |
| (c) Total Non-Performing Loans and Advances (a-b)      | 12,145,324 | 13,050,400 | 9,710,645   | 10,597,748  |
| (d) Loan loss provisions                               | 5,421,312  | 8,233,546  | 4,179,635   | 7,023,575   |
| (e) Net Non-Performing Loans (c-d)                     | 6,724,012  | 4,816,854  | 5,531,010   | 3,574,173   |
| (f) Discounted Value of Securities                     | 6,724,012  | 4,816,854  | 5,531,010   | 3,574,173   |
| (g) Net NPLs Exposure (e-f)                            | -          | -          | -           | -           |
| (2) INSIDER LOANS AND ADVANCES                         |            |            |             |             |
| (a) Directors, shareholders and associates             | 2,694,348  | 3,007,298  | 2,476,886   | 2,616,943   |
| (b) Employees                                          | 1,584,175  | 1,574,884  | 1,290,860   | 1,273,982   |
| (c) Total Insider Loans and Advances                   | 4,278,523  | 4,582,182  | 3,767,746   | 3,890,925   |
| (3) OFF-BALANCE SHEET ITEMS                            |            |            |             |             |
| (a) Letters of credit, guarantees, acceptances         | 41,305,237 | 32,196,173 | 36,363,238  | 27,478,167  |
| (b) Forwards, swaps, and options                       | 13,722,022 | 5,500,003  | 11,350,645  | 4,235,970   |
| (c) Other contingent liabilities                       | -          | -          | -           | -           |
| (d) Total Contingent Liabilities                       | 55,027,259 | 37,696,176 | 47,713,883  | 31,714,137  |
| (4) CAPITAL STRENGTH                                   |            |            |             |             |
| (a) Core Capital                                       |            |            | 39,935,899  | 35,343,676  |
| (b) Minimum Statutory Capital                          |            |            | 1,000,000   | 1,000,000   |
| (c) Excess/(Deficiency)                                |            |            | 38,935,899  | 34,343,676  |
| (d) Supplementary capital                              |            |            | 5,166,358   | 3,446,708   |
| (e) Total capital (a+d)                                |            |            | 45,102,257  | 38,790,384  |
| (f) Total risk weighted assets                         |            |            | 213,677,904 | 204,038,635 |
| (g) Core capital/total deposit liabilities             |            |            | 19.4%       | 18.5%       |
| (h) Minimum Statutory Ratio                            |            |            | 8.0%        | 8.0%        |
| (i) Excess/(Deficiency) (g-h)                          |            |            | 11.4%       | 10.5%       |
| (j) Core capital/total risk weighted assets            |            |            | 18.7%       | 17.3%       |
| (k) Minimum Statutory Ratio                            |            |            | 10.5%       | 10.5%       |
| (l) Excess/(Deficiency) (j-k)                          |            |            | 8.2%        | 6.8%        |
| (m) Total capital/total risk weighted assets           |            |            | 21.1%       | 19.0%       |
| (n) Minimum Statutory Ratio                            |            |            | 14.5%       | 14.5%       |
| (o) Excess/(Deficiency) (m-n)                          |            |            | 6.6%        | 4.5%        |
| (p) Adjusted Core capital/total deposit liabilities*   |            |            | 20.7%       | -           |
| (q) Adjusted Core capital/total risk weighted assets*  |            |            | 19.6%       | -           |
| (r) Adjusted Total capital/total risk weighted assets* |            |            | 22.0%       | -           |
| (5) LIQUIDITY                                          |            |            |             |             |
| (a) Liquidity Ratio                                    |            |            | 53.5%       | 49.9%       |
| (b) Minimum Statutory Ratio                            |            |            | 20.0%       | 20.0%       |
| (c) Excess/(Deficiency) (a-b)                          |            |            | 33.5%       | 29.9%       |

| STATEMENT OF COMPREHENSIVE INCOME                                          | GROUP           |                 | BANK            |                 |
|----------------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                            | Dec. 2018       | Dec. 2017       | Dec. 2018       | Dec. 2017       |
|                                                                            | Shs 000 Audited | Shs 000 Audited | Shs 000 Audited | Shs 000 Audited |
| INTEREST INCOME                                                            |                 |                 |                 |                 |
| Loans and advances                                                         | 21,956,985      | 22,651,861      | 16,754,047      | 16,834,004      |
| Government securities                                                      | 13,010,069      | 11,744,676      | 10,188,136      | 8,694,690       |
| Deposits and placements with banking institutions                          | 301,449         | 232,253         | 99,802          | 101,556         |
| Other interest income                                                      | -               | -               | -               | 3,143           |
| Total interest income                                                      | 35,268,503      | 34,628,790      | 27,041,985      | 25,633,393      |
| INTEREST EXPENSES                                                          |                 |                 |                 |                 |
| Customer deposits                                                          | 13,463,538      | 13,497,804      | 11,327,165      | 10,659,671      |
| Deposits and placements from banking institutions                          | 795,314         | 490,587         | 743,716         | 481,658         |
| Other interest expenses                                                    | 988,137         | 965,321         | 743,597         | 754,968         |
| Total interest expenses                                                    | 15,246,989      | 14,953,712      | 12,814,478      | 11,896,297      |
| NET INTEREST INCOME                                                        | 20,021,514      | 19,675,078      | 14,227,507      | 13,737,096      |
| OTHER OPERATING INCOME                                                     |                 |                 |                 |                 |
| Fees and commissions on loans and advances                                 | 1,284,128       | 1,261,206       | 894,583         | 907,841         |
| Other fees and commissions income                                          | 2,157,644       | 1,995,208       | 1,043,348       | 994,545         |
| Foreign exchange trading income                                            | 1,570,669       | 1,596,970       | 1,005,450       | 1,039,379       |
| Dividend income                                                            | -               | -               | 65,475          | 68,704          |
| Other income                                                               | 422,194         | 422,025         | 25,568          | 155,876         |
| Total Non-Interest Income                                                  | 5,434,635       | 5,275,409       | 3,034,424       | 3,166,345       |
| TOTAL OPERATING INCOME                                                     | 25,456,149      | 24,950,487      | 17,261,931      | 16,903,441      |
| OPERATING EXPENSES                                                         |                 |                 |                 |                 |
| Loan loss provision                                                        | 2,982,261       | 4,300,777       | 1,556,629       | 2,680,290       |
| Staff costs                                                                | 4,192,871       | 3,976,009       | 2,484,515       | 2,386,223       |
| Directors' emoluments                                                      | 142,483         | 115,714         | 92,357          | 67,035          |
| Rentals charges                                                            | 882,888         | 798,382         | 451,988         | 385,090         |
| Depreciation charge on property and equipment                              | 975,655         | 982,200         | 552,147         | 570,146         |
| Amortisation charges                                                       | 267,422         | 354,847         | 190,224         | 222,187         |
| Other operating expenses                                                   | 5,041,780       | 4,332,713       | 2,669,297       | 2,364,912       |
| Total operating expenses                                                   | 14,485,360      | 14,860,642      | 7,997,157       | 8,675,883       |
| PROFIT BEFORE TAX AND EXCEPTIONAL ITEMS                                    | 10,970,789      | 10,089,845      | 9,264,774       | 8,227,558       |
| Exceptional items                                                          | -               | -               | -               | -               |
| Profit after exceptional items                                             | 10,970,789      | 10,089,845      | 9,264,774       | 8,227,558       |
| Share of associate profit after tax                                        | 29,483          | 8,390           | -               | -               |
| Profit before tax                                                          | 11,000,272      | 10,098,235      | 9,264,774       | 8,227,558       |
| Current tax                                                                | (3,444,212)     | (4,198,225)     | (2,806,465)     | (3,303,339)     |
| Deferred tax credit                                                        | (473,945)       | 1,025,030       | (671,393)       | 575,452         |
| PROFIT AFTER TAX AND EXCEPTIONAL ITEMS                                     | 7,082,115       | 6,925,040       | 5,786,916       | 5,499,671       |
| Non controlling interests                                                  | 395,503         | 475,229         | -               | -               |
| Profit for the year after tax and non controlling interests                | 6,686,612       | 6,449,811       | 5,786,916       | 5,499,671       |
| OTHER COMPREHENSIVE INCOME                                                 |                 |                 |                 |                 |
| Loss)/gain from translating the financial statements of foreign operations | (579,625)       | 194,166         | -               | -               |
| Loss on revaluation of land and buildings                                  | -               | (12,712)        | -               | -               |
| Net loss from changes in fair value of Treasury bills                      | (19,314)        | -               | -               | -               |
| Income tax relating to these items                                         | 6,756           | 5,826           | -               | -               |
| Other comprehensive income for the year net of tax                         | (592,183)       | 187,280         | -               | -               |
| TOTAL COMPREHENSIVE INCOME FOR THE YEAR                                    | 6,489,932       | 7,112,320       | 5,786,916       | 5,499,671       |
| Earnings per Share (Shs per share) - basic and diluted                     | 23.91           | 23.73           | 20.70           | 20.23           |
| Dividend per Share (Shs per share)                                         | 2.60            | 2.60            | 2.60            | 2.60            |

ANNUAL GENERAL MEETING AND DECLARATION OF DIVIDEND

Based on the year-end results achieved, the Directors will recommend to the Shareholders at the Annual General Meeting to be held at Laico Regency Hotel, Crystal Ballroom, Nairobi, on 23 May 2019, payment of a first and final dividend of 65% (i.e. at the rate of Shs 2.60 per share) for the year 2018 on the issued and paid-up share capital of Shs 1,118,408,880, subject to withholding tax, where applicable.

For purposes of payment of the dividend, the Share Register of the Bank will be closed on 24 May 2019 and payment of dividend due to Shareholders on the Register as at the close of business on 24 May 2019, will be made from 26 June 2019.

By order of the Board

Stephen Kodumbe  
Company Secretary

20 March 2019

MESSAGE FROM DIRECTORS

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received an unqualified opinion.

The complete set of these financial statements will be available at our registered office at DTB Centre Mombasa Road and online at [www.dtbafrika.com](http://www.dtbafrika.com) for inspection after approval at the Annual General Meeting to be held on 23 May 2019.

Abdul Samji  
Nasim Devji  
Ismail Mawji  
Stephen Kodumbe

Chairman  
Managing Director  
Director  
Company Secretary

# CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2017

|                                                                                               | Share capital    | Share premium    | Statutory loan loss reserve | Other reserves   | Retained earnings | Proposed dividend | Attributable to equity holders of the Bank | Non controlling Interests | Total             |
|-----------------------------------------------------------------------------------------------|------------------|------------------|-----------------------------|------------------|-------------------|-------------------|--------------------------------------------|---------------------------|-------------------|
|                                                                                               | Shs'000          | Shs'000          | Shs'000                     | Shs'000          | Shs'000           | Shs'000           | Shs'000                                    | Shs'000                   | Shs'000           |
| <b>At start of year</b>                                                                       | 1,065,284        | 7,294,767        | 860,779                     | 433,325          | 30,682,722        | 692,435           | 41,029,312                                 | 4,847,237                 | 45,876,549        |
| Profit for the year                                                                           | -                | -                | -                           | -                | 6,449,811         | -                 | 6,449,811                                  | 475,229                   | 6,925,040         |
| Other comprehensive income                                                                    | -                | -                | -                           | (90,182)         | -                 | -                 | (90,182)                                   | 277,462                   | 187,280           |
| Transfer of excess depreciation                                                               | -                | -                | -                           | (33,448)         | 33,448            | -                 | -                                          | -                         | -                 |
| Deferred tax on transfer of excess depreciation                                               | -                | -                | -                           | 1,520            | (1,520)           | -                 | -                                          | -                         | -                 |
| Statutory loan loss reserve                                                                   | -                | -                | 496,971                     | -                | (496,971)         | -                 | -                                          | -                         | -                 |
| Legal reserve                                                                                 | -                | -                | -                           | 6,511            | (6,511)           | -                 | -                                          | -                         | -                 |
| <b>Total comprehensive income</b>                                                             | -                | -                | <b>496,971</b>              | <b>(115,599)</b> | <b>5,978,257</b>  | -                 | <b>6,359,629</b>                           | <b>752,691</b>            | <b>7,112,320</b>  |
| <b>Transactions with owners in their capacity as owners:</b>                                  |                  |                  |                             |                  |                   |                   |                                            |                           |                   |
| Issue of shares on acquisition of HBL Kenya assets and liabilities                            | 53,125           | 1,711,802        | -                           | -                | -                 | -                 | 1,764,927                                  | -                         | 1,764,927         |
| Acquisition of interests from non controlling interests in Diamond Trust Bank Uganda Limited. | -                | -                | -                           | (91,638)         | -                 | -                 | (91,638)                                   | (309,275)                 | (400,913)         |
| <b>Dividends:</b>                                                                             |                  |                  |                             |                  |                   |                   |                                            |                           |                   |
| - Final for 2016 paid                                                                         | -                | -                | -                           | -                | -                 | (692,435)         | (692,435)                                  | (40,693)                  | (733,128)         |
| - Proposed for 2017                                                                           | -                | -                | -                           | -                | (726,966)         | 726,966           | -                                          | -                         | -                 |
| <b>Total transactions with owners, recognised directly in equity</b>                          | <b>53,125</b>    | <b>1,711,802</b> | <b>-</b>                    | <b>(91,638)</b>  | <b>(726,966)</b>  | <b>34,531</b>     | <b>980,854</b>                             | <b>(349,968)</b>          | <b>630,886</b>    |
| <b>At end of year</b>                                                                         | <b>1,118,409</b> | <b>9,006,569</b> | <b>1,357,750</b>            | <b>226,088</b>   | <b>35,934,013</b> | <b>726,966</b>    | <b>48,369,795</b>                          | <b>5,249,960</b>          | <b>53,619,755</b> |

AN EXTRACT FROM THE DTB FINANCIAL STATEMENTS 2018

# CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2018

|                                                                                                | Share capital<br>Shs'000 | Share premium<br>Shs'000 | Statutory loan loss reserve<br>Shs'000 | Other reserves<br>Shs'000 | Retained earnings<br>Shs'000 | Proposed dividend<br>Shs'000 | Attributable to equity holders of the Bank<br>Shs'000 | Non controlling Interests<br>Shs'000 | Total<br>Shs'000 |
|------------------------------------------------------------------------------------------------|--------------------------|--------------------------|----------------------------------------|---------------------------|------------------------------|------------------------------|-------------------------------------------------------|--------------------------------------|------------------|
| <b>At start of year</b>                                                                        | 1,118,409                | 9,006,569                | 1,357,750                              | 226,088                   | 35,934,013                   | 726,966                      | 48,369,795                                            | 5,249,960                            | 53,619,755       |
| <b>Adjustment on initial application of IFRS 9, net of tax</b>                                 | -                        | -                        | -                                      | 23,846                    | (307,423)                    | -                            | (283,577)                                             | 31,966                               | (251,611)        |
| <b>Restated balance</b>                                                                        | 1,118,409                | 9,006,569                | 1,357,750                              | 249,934                   | 35,626,590                   | 726,966                      | 48,086,218                                            | 5,281,926                            | 53,368,144       |
| Profit for the year                                                                            | -                        | -                        | -                                      | -                         | 6,686,612                    | -                            | 6,686,612                                             | 395,503                              | 7,082,115        |
| Other comprehensive income                                                                     | -                        | -                        | -                                      | (403,142)                 | -                            | -                            | (403,142)                                             | (189,041)                            | (592,183)        |
| Transfer of excess depreciation                                                                | -                        | -                        | -                                      | (32,381)                  | 32,381                       | -                            | -                                                     | -                                    | -                |
| Deferred tax on transfer of excess depreciation                                                | -                        | -                        | -                                      | 1,520                     | (1,520)                      | -                            | -                                                     | -                                    | -                |
| Statutory loan loss reserve                                                                    | -                        | -                        | (466,982)                              | -                         | 466,982                      | -                            | -                                                     | -                                    | -                |
| Legal reserve                                                                                  | -                        | -                        | -                                      | 13,446                    | (13,446)                     | -                            | -                                                     | -                                    | -                |
| <b>Total comprehensive income</b>                                                              | -                        | -                        | <b>(466,982)</b>                       | <b>(420,557)</b>          | <b>7,171,009</b>             | -                            | <b>6,283,470</b>                                      | <b>206,462</b>                       | <b>6,489,932</b> |
| <b>Transactions with owners in their capacity as owners:</b>                                   |                          |                          |                                        |                           |                              |                              |                                                       |                                      |                  |
| Acquisition of interests from non controlling interests in Diamond Trust Bank Burundi Limited. | -                        | -                        | -                                      | 14,328                    | -                            | -                            | 14,328                                                | (166,624)                            | (152,296)        |
| Dividends:                                                                                     |                          |                          |                                        |                           |                              |                              |                                                       |                                      |                  |
| - Final for 2017 paid                                                                          | -                        | -                        | -                                      | -                         | -                            | (726,966)                    | (726,966)                                             | (39,565)                             | (766,531)        |
| - Proposed for 2018                                                                            | -                        | -                        | -                                      | -                         | (726,966)                    | 726,966                      | -                                                     | -                                    | -                |
| <b>Total transactions with owners, recognised directly in equity</b>                           | -                        | -                        | -                                      | <b>14,328</b>             | <b>(726,966)</b>             | -                            | <b>(712,638)</b>                                      | <b>(206,189)</b>                     | <b>(918,827)</b> |
| <b>At end of year</b>                                                                          | 1,118,409                | 9,006,569                | 890,768                                | (156,295)                 | 42,070,633                   | 726,966                      | 53,657,050                                            | 5,282,199                            | 58,939,249       |

# **BANK STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2017**

|                                                                      | Share capital<br>Shs'000 | Share premium<br>Shs'000 | Other reserves<br>Shs'000 | Retained earnings<br>Shs'000 | Proposed dividend<br>Shs'000 | Total<br>Shs'000 |
|----------------------------------------------------------------------|--------------------------|--------------------------|---------------------------|------------------------------|------------------------------|------------------|
| <b>At start of year</b>                                              | 1,065,284                | 7,294,767                | 1,386,184                 | 25,993,139                   | 692,435                      | 36,431,809       |
| Profit for the year                                                  | -                        | -                        | -                         | 5,499,671                    | -                            | 5,499,671        |
| Other comprehensive income                                           | -                        | -                        | -                         | -                            | -                            | -                |
| Transfer of excess depreciation                                      | -                        | -                        | (30,408)                  | 30,408                       | -                            | -                |
| Deferred tax on transfer of excess depreciation                      | -                        | -                        | 1,520                     | (1,520)                      | -                            | -                |
| <b>Total comprehensive income</b>                                    | -                        | -                        | (28,888)                  | 5,528,559                    | -                            | 5,499,671        |
| <b>Transactions with owners in their capacity as owners:</b>         |                          |                          |                           |                              |                              |                  |
| Issue of shares on acquisition of HBL Kenya assets and liabilities   | 53,125                   | 1,711,802                | -                         | -                            | -                            | 1,764,927        |
| Dividends:                                                           |                          |                          |                           |                              |                              |                  |
| - Final for 2016 paid                                                | -                        | -                        | -                         | -                            | (692,435)                    | (692,435)        |
| - Proposed for 2017                                                  | -                        | -                        | -                         | (726,966)                    | 726,966                      | -                |
| <b>Total transactions with owners, recognised directly in equity</b> | 53,125                   | 1,711,802                | -                         | (726,966)                    | 34,531                       | 1,072,492        |
| <b>At end of year</b>                                                | 1,118,409                | 9,006,569                | 1,357,296                 | 30,794,732                   | 726,966                      | 43,003,972       |

## BANK STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2018

|                                                               | Share capital<br>Shs'000 | Share premium<br>Shs'000 | Other reserves<br>Shs'000 | Retained earnings<br>Shs'000 | Proposed dividend<br>Shs'000 | Total<br>Shs'000 |
|---------------------------------------------------------------|--------------------------|--------------------------|---------------------------|------------------------------|------------------------------|------------------|
| At start of year                                              | 1,118,409                | 9,006,569                | 1,357,296                 | 30,794,732                   | 726,966                      | 43,003,972       |
| Adjustment on initial application of IFRS 9, net of tax       | -                        | -                        | -                         | (351,084)                    | -                            | (351,084)        |
| Restated balance                                              | 1,118,409                | 9,006,569                | 1,357,296                 | 30,443,648                   | 726,966                      | 42,652,888       |
| Profit for the year                                           | -                        | -                        | -                         | 5,786,916                    | -                            | 5,786,916        |
| Transfer of excess depreciation                               | -                        | -                        | (30,408)                  | 30,408                       | -                            | -                |
| Deferred tax on transfer of excess depreciation               | -                        | -                        | 1,520                     | (1,520)                      | -                            | -                |
| Total comprehensive income                                    | -                        | -                        | (28,888)                  | 5,815,804                    | -                            | 5,786,916        |
| Transactions with owners in their capacity as owners:         |                          |                          |                           |                              |                              |                  |
| Dividends:                                                    |                          |                          |                           |                              |                              |                  |
| - Final for 2017 paid                                         | -                        | -                        | -                         | -                            | (726,966)                    | (726,966)        |
| - Proposed for 2018                                           | -                        | -                        | -                         | (726,966)                    | 726,966                      | -                |
| Total transactions with owners, recognised directly in equity | -                        | -                        | -                         | 726,966                      | -                            | (726,966)        |
| At end of year                                                | 1,118,409                | 9,006,569                | 1,328,408                 | 35,532,486                   | 726,966                      | 47,712,838       |



## STATEMENT OF CASHFLOWS FOR THE YEAR ENDED 31 DECEMBER 2018

|                                                                                         | Group              |                    | Bank                |                     |
|-----------------------------------------------------------------------------------------|--------------------|--------------------|---------------------|---------------------|
|                                                                                         | 2018               | 2017               | 2018                | 2017                |
|                                                                                         | Shs'000            | Shs'000            | Shs'000             | Shs'000             |
| <b>Cash flows from/(used in) operating activities</b>                                   |                    |                    |                     |                     |
| Interest receipts                                                                       | 35,271,077         | 34,860,913         | 26,881,830          | 25,838,674          |
| Interest payments                                                                       | (14,277,385)       | (13,978,997)       | (11,986,952)        | (11,184,103)        |
| Net fee and commission receipts                                                         | 3,242,470          | 3,140,739          | 1,775,805           | 1,784,618           |
| Other income received                                                                   | 1,981,652          | 1,914,316          | 1,240,382           | 1,232,537           |
| Recoveries from loans previously written off                                            | 273,758            | 150,079            | 2,312               | 20,221              |
| Payments to employees and suppliers                                                     | (9,835,856)        | (8,872,466)        | (5,603,533)         | (5,191,184)         |
| Income tax paid                                                                         | (4,085,348)        | (5,601,625)        | (3,076,638)         | (4,637,482)         |
| Cash flows from operating activities before changes in operating assets and liabilities | <b>12,570,368</b>  | <b>11,612,959</b>  | <b>9,233,206</b>    | <b>7,863,281</b>    |
| Changes in operating assets and liabilities:                                            |                    |                    |                     |                     |
| - cash reserve requirement                                                              | (1,002,330)        | (795,224)          | (815,365)           | (1,066,589)         |
| - Government securities                                                                 | (652,644)          | (19,040,677)       | (760,626)           | (10,961,562)        |
| - loans and advances to customers                                                       | (640,983)          | (12,517,540)       | (793,809)           | (13,274,992)        |
| - Balances due from subsidiary companies                                                | -                  | -                  | -                   | 113,857             |
| - customer deposits                                                                     | 16,643,699         | 20,764,779         | 15,507,011          | 13,324,513          |
| - other assets                                                                          | (155,718)          | 492,619            | (128,215)           | 656,952             |
| - other liabilities                                                                     | (1,675,003)        | 1,868,011          | (1,683,322)         | 1,719,699           |
| Net cash from/( used in) operating activities                                           | <b>25,087,389</b>  | <b>2,384,927</b>   | <b>20,558,880</b>   | <b>(1,624,841)</b>  |
| <b>Cash flows used in investing activities</b>                                          |                    |                    |                     |                     |
| Purchase of property and equipment                                                      | (904,838)          | (965,191)          | (365,762)           | (458,109)           |
| Purchase of intangible assets - software costs                                          | (151,893)          | (400,647)          | (125,761)           | (327,654)           |
| Purchase of shares in associate/subsidiary                                              | -                  | -                  | (152,296)           | (1,056,380)         |
| Net proceeds from sale of investment in Government securities                           | 32,229             | (878)              | 32,229              | (878)               |
| Proceeds from sale of property and equipment                                            | (73,513)           | 9,102              | (75,216)            | 2,762               |
| Dividend received                                                                       | -                  | -                  | 65,475              | 68,704              |
| Net cash used in investing activities                                                   | <b>(1,098,015)</b> | <b>(1,357,614)</b> | <b>(621,331)</b>    | <b>(1,771,555)</b>  |
| <b>Cash flows used in financing activities</b>                                          |                    |                    |                     |                     |
| Proceeds from borrowings                                                                | 4,045,780          | 379,682            | 3,058,500           | -                   |
| Repayment of borrowings                                                                 | (6,543,623)        | (5,430,160)        | (6,200,876)         | (5,258,898)         |
| Finance costs                                                                           | (926,574)          | (964,378)          | (722,183)           | (758,407)           |
| Dividends paid to equity holders of the bank                                            | (726,966)          | (692,435)          | (726,966)           | (692,435)           |
| Dividends paid to non controlling interests                                             | (39,565)           | (40,693)           | -                   | -                   |
| Net cash used in financing activities                                                   | <b>(4,190,948)</b> | <b>(6,747,984)</b> | <b>(4,591,525)</b>  | <b>(6,709,740)</b>  |
| <b>Net increase/ (decrease) in cash and cash equivalents</b>                            | <b>19,798,426</b>  | <b>(5,720,671)</b> | <b>15,346,024</b>   | <b>(10,106,136)</b> |
| Cash and cash equivalents at start of year                                              | 2,789,926          | 2,865,866          | (10,657,432)        | (7,097,656)         |
| Cash and cash equivalents acquired from HBL                                             | -                  | 6,546,360          | -                   | 6,546,360           |
| Translation difference                                                                  | (1,213,135)        | (901,629)          | -                   | -                   |
|                                                                                         | <b>1,576,791</b>   | <b>8,510,597</b>   | <b>(10,657,432)</b> | <b>(551,296)</b>    |
| <b>Cash and cash equivalents at end of year</b>                                         | <b>21,375,217</b>  | <b>2,789,926</b>   | <b>4,688,592</b>    | <b>(10,657,432)</b> |